

METALS & MINING

Copper Equities We Like Post Rally

The copper equities under our coverage have rallied by 108% in 2025, supported by a 42% rise in the copper price that was specially sharp from November. The GS commodities research team remains structurally bullish on copper prices and sees a \$15,000/t (2035 nominal) long term price (vs. \$13,000/t spot) as required so supply can meet growing demand.

However, the team does not believe current fundamentals are supportive of the current ~\$13,000 spot price and believe that the incremental 22% increase since late November was supported by temporary technical factors and improving macro sentiment rather than better supply/demand fundamentals. Please refer to this note for more details, but the team expects prices to correct by 14% by 4Q26 with a potential Q2 US import tariff announcement to signal an end to US stockpiling and bring oversupplied global fundamentals back into focus (300kt surplus in 2026E).

As a consequence, our preference is for copper equities that do not necessarily require higher copper prices to perform, due to either 1) relatively more attractive valuation, or 2) bottom-up triggers (e.g., production growth, gold exposure). According to our calculation, First Quantum (BUY) provides the best risk/reward on a potential Cobre Panama come back and remains our preferred name within the sector. HudBay Minerals (BUY) also provide good FCF carry (at 32% cumulative in 2026-28) until Copper World growth is delivered by 2029. Similarly, Ero Copper (BUY) FCF potential at 12-16% in 2026-27 is attractive even at relatively conservative production growth numbers.

We remain Neutral rated on Capstone having limited FCF carry until Santo Domingo becomes operational (only by 2029) and with the largest operating leverage to potentially lower copper prices. We also see limited potential in Grupo Mexico as its discount to NAV is already at its historical average (at 38% vs. 55% peak).

Lastly, we remain Sell-rated on SCCO. The company is the largest pure global copper producer, but production growth is limited (we forecast it to decline until 2027) and valuation is unappealing (trading at 16x EV/EBITDA 2026E vs. 6.0x average for our coverage).

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Exhibit 1: Implied Copper Prices (\$/t)

Company	Cmcy	Share Price (Last Close)	Implied Price (\$/t)
Capstone Copper	CAD/sh	13.9	13,600
Capstone Copper (inc. Santo Domingo)			12,500
Ero Copper	\$/sh	31.0	11,400
First Quantum (inc. Cobre Panama)	CAD/sh	41.0	10,660
HudBay Minerals	CAD/sh	31.2	11,300
HudBay Minerals (inc. Copper World)			10,300
Southern Copper	\$/sh	177.0	14,779
Grupo Mexico	MXN/sh	190.0	11,146
Avg ex-Southern Copper (inc. projects)			11,201
Avg ex-Southern Copper (ex-projects)			11,621

Source: Bloomberg, Goldman Sachs Global Investment Research

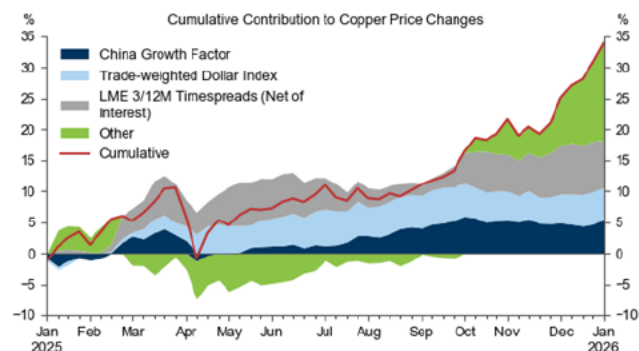
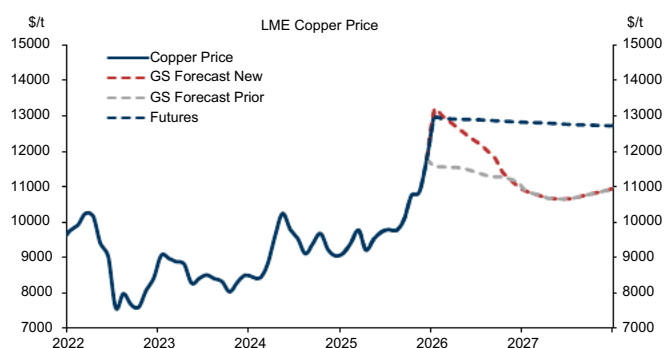
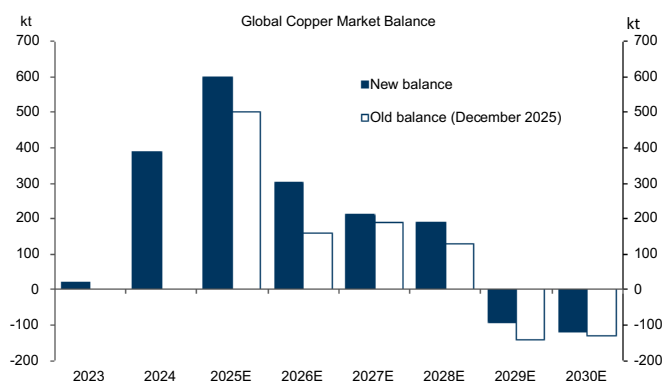
Exhibit 2: The Ongoing Price Rally is Driven by ‘Other Factors’, Which We See as Expectations the Ex-US Market Will Tighten Further

Chart shows data through to week ending January 2nd.

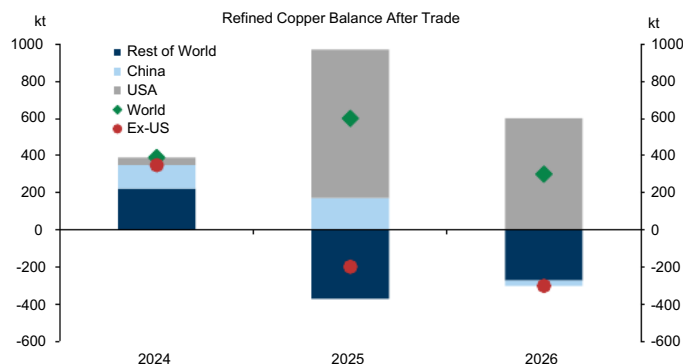
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: We Now Forecast the LME Copper Price to Average \$13,000 in Q1 2026, Before Correcting Lower to ~\$11,200 By Year-End

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: We Now Expect the Global Copper Market to be in a 300kt Surplus in 2026

Source: CRU, Wood Mackenzie, Bloomberg, S&P Global Market Intelligence, ICSG, Goldman Sachs Global Investment Research

Exhibit 5: We Slightly Lower 2026 US Stockpiling to 600kt from 750kt Previously on Less Attractive Import Arbitrage

Estimate Changes

Capstone Copper (Neutral)

We revise our 2025/26/27E EBITDA by +13%/+38%/+12%, chiefly driven by 1) the carryover of better-than-expected cost performance in 3Q25, and higher copper prices in 2026 (\$12,200/t, or +16% vs prior estimates). We keep copper prices for 2027 unchanged at \$10,750/t. We also incorporate in our model higher long-term copper prices of \$15,000/t by 2035E (or \$11,500/t in 2025\$ terms), following the GS commodities team update. Note we do not incorporate Santo Domingo copper project in our model as we await a final sanctioning decision (expected by late 2026), following the advancement of detailed engineering. All in we increase our PT to C\$14/sh (vs C\$11.4/sh previously) and maintain our Neutral rating.

Ero Copper (Buy)

We revised our 2025/26/27E EBITDA by +9%/-7%/-8%, primarily driven by 1) slower-than-expected ramp-up at Tucuma (we assume 3Mt throughput for 2026, or c.70% of nameplate capacity), and 2) higher costs at Caraiba, impacted by mine sequencing (e.g. more ore fed from lower grade/higher cost pit Surubim), partially offset by 3) the sale contribution of stockpiled gold concentrates from Xavantina and 4) higher copper prices in 2026 (\$11,400/t, or +16% vs prior estimates), but unchanged for 2027 (\$10,750/t). We also incorporate in our model higher long-term copper prices of \$15,000/t by 2035E (or \$11,500/t in 2025\$ terms), following the GS commodities team update. All in, we increase our PT to \$33.0/sh (vs \$25.0/sh previously) and keep our Buy rating.

First Quantum Minerals (Buy)

We revise our 2025/26/27E EBITDA by -1%/+9%/+7% as 1) higher copper prices in 2026 (\$11,400/t, or +16% vs prior estimates) are offset by 2) the carryover of weaker costs in 3Q25 from the Guelb and Çayeli mines. We keep copper prices for 2027 unchanged at \$10,750/t. We also note FQM's Cobre Panama (mine restart not included in GS base case) situation continued to evolve (c.50% of the audit to be concluded in YE25) with increased transparency and expect continuous news flow with the final audit report expected for Jan 20th. We also incorporate in our model higher long-term copper prices of \$15,000/t by 2035E (or \$11,500/t in 2025\$ terms), following the GS commodities team update. All in, we increase our PT to C\$43.0/sh (vs C\$36.0/sh previously) and maintain our Buy rating.

HudBay Minerals (Buy)

We revise our 2025/26/27E EBITDA by +4%/+11%/+11%, chiefly driven by 1) the carryover of better-than-expected cost performance in 3Q25, and higher copper prices in 2026 (\$11,400/t, or +16% vs prior estimates). We keep copper prices for 2027 unchanged at \$10,750/t. Moreover, we have lowered shipments at 1) British Columbia to account for slower Copper Mountain throughput due to SAG1 issue (to be resolved by 2Q26), and 2) Peru due to anticipation of Pampachancha's depletion leading to lower grades in 2026. We also incorporate in our model higher long-term copper prices of \$15,000/t by 2035E (or \$11,500/t in 2025\$ terms), following the GS commodities team update. All in, we increase our PT to C\$33.0/sh (vs C\$24.5/sh previously) and maintain

our Buy rating.

Southern Copper (Sell)

We revise our 2025/26/27E EBITDA by +3%/+15%/-1%, chiefly driven by higher copper prices in 2026 (\$11,400/t, or +16% vs prior estimates). We keep copper prices in 2027 unchanged at \$10,750/t and incorporate preliminary guidance of copper production and capex (both 1% lower in 2026). We also incorporate in our model higher long-term copper prices of \$15,000/t by 2035E (or \$11,500/t in 2025\$ terms), following the GS commodities team update. All in, we increase our PT to \$129.0/sh (vs \$114.03/sh previously) and maintain our Sell rating.

Grupo Mexico (Neutral)

We revise our 2025/26/27E EBITDA by +2%/+13%/-1%, chiefly driven by SCCO's earnings revision. However, we assume weaker results at GMEX's infra business following the higher-than-expected impact of the four jack-up rigs suspension at PEMSA, which we expect to normalize by 2027. Finally, MXNUSD appreciation (MXNUSD is currently at 18 vs 18.4 prior) has also partially offset the EBITDA increase. All in, we slightly increase our PT at MXN\$164/sh (vs MXN\$152/sh prior) and maintain our Neutral rating.

Exhibit 6: Summary of estimate changes (U\$m, %)

ESTIMATE CHANGES		2025			2026			2027			PT			Rating	
		New	Old	% Chg	New	Old	% Chg	New	Old	% Chg	New	Old	% Chg	New	Old
Capstone Copper															
Net Revenue	US\$m	2,345	2,288	2%	3,283	2,793	18%	3,110	2,973	5%					
EBITDA	US\$m	948	839	13%	1,646	1,194	38%	1,523	1,363	12%	14.0	11.4	23%	Neutral	Neutral
Net Income	US\$m	354	112	215%	541	329	64%	430	409	5%					
Ero Copper															
Net Revenue	US\$m	810	741	9%	1,196	1,235	-3%	1,227	1,233	0%					
EBITDA	US\$m	423	387	9%	745	799	-7%	762	826	-8%	33.0	25.00	32%	Buy	Buy
Net Income	US\$m	311	279	11%	474	513	-8%	486	546	-11%					
First Quantum															
Net Revenue	US\$m	5,185	5,289	-2%	6,799	6,200	10%	6,200	6,151	1%					
EBITDA	US\$m	1,742	1,755	-1%	3,066	2,810	9%	3,068	2,861	7%	43.0	36.00	19.4%	Buy	Buy
Net Income	US\$m	85	141	-40%	1,090	931	17%	1,260	1,051	20%					
HudBay Minerals															
Net Revenue	US\$m	2,231	2,298	-3%	2,787	2,811	-1%	3,126	3,001	4%					
EBITDA	US\$m	1,139	1,096	4%	1,680	1,520	11%	1,889	1,696	11%	33.0	24.50	35%	Buy	Buy
Net Income	US\$m	664	455	46%	724	655	11%	875	782	12%					
Southern Copper															
Net Revenue	US\$m	13,260	12,938	2%	14,804	13,043	14%	12,898	12,381	4%					
EBITDA	US\$m	7,765	7,530	3%	9,174	7,951	15%	7,466	7,532	-1%	129.0	114.03	13%	Sell	Sell
Net Income	US\$m	4,285	4,103	4%	5,111	4,284	19%	4,012	3,949	2%					
Grupo Mexico															
Net Revenue	US\$m	17,954	17,626	2%	20,158	18,232	11%	18,506	17,855	4%					
EBITDA	US\$m	9,864	9,654	2%	11,574	10,285	13%	9,878	9,987	-1%	164.0	152.0	8%	Neutral	Neutral
Net Income	US\$m	4,638	4,372	6%	5,546	4,584	21%	4,590	4,409	4%					

PT in C\$/sh for First Quantum Minerals, Hudbay Minerals, Capstone Copper and in MXN\$/sh for Grupo Mexico. Adjusted EBITDA for HBM.

Source: Goldman Sachs Global Investment Research

Global Copper S/D Outlook

Exhibit 7: We Do Not Expect The Copper Market To Move Into Deficit Until 2029

World Copper Market Balance							
'000 tonnes	2024	2025	2026	2027	2028	2029	2030
Market Balance							
Refined Production	27,092	27,962	28,362	29,099	29,803	30,228	30,833
Refined Consumption	26,703	27,362	28,062	28,889	29,613	30,318	30,952
Market balance	389	600	300	210	190	-90	-120
Reported inventories	785	1,210	1,380	1,760	1,990	1,900	1,760
y/y change	330	425	170	380	230	-90	-140
Production							
Mine Production before disruption allowance	23,057	23,384	24,352	25,455	26,021	26,376	26,777
Disruption allowance		0.5%	3.5%	5.0%	5.5%	6.0%	6.0%
Mine Production	23,057	23,267	23,500	24,182	24,590	24,793	25,170
y/y change	2.9%	0.9%	1.0%	2.9%	1.7%	0.8%	1.5%
Change in Copper Concentrate Inventories	(200)	(250)	(150)	-	-	-	-
Smelting loss	627	643	661	691	707	716	727
Scrap used in Smelting & Refining	4,461	5,088	5,374	5,609	5,919	6,150	6,389
y/y change	9.4%	14.0%	5.6%	4.4%	5.5%	3.9%	3.9%
Refined Production							
	27,092	27,962	28,362	29,099	29,803	30,228	30,833
y/y change	4.3%	3.2%	1.4%	2.6%	2.4%	1.4%	2.0%
China	12,061	13,365	14,300	15,000	15,250	15,500	16,000
World Ex-China	15,031	14,597	14,062	14,099	14,553	14,728	14,833
Consumption							
Total Copper Consumption	33,439	34,009	34,797	35,571	36,247	36,918	37,526
y/y change	2.6%	1.7%	2.3%	2.2%	1.9%	1.9%	1.6%
of which							
Grid & Power Infrastructure	10,796	11,363	11,958	12,328	12,679	13,139	13,499
EVs & Renewables	3,508	4,118	4,355	4,753	4,962	5,279	5,609
Electrification share of demand	43%	46%	47%	48%	49%	50%	51%
China Building	4,066	3,471	3,162	2,915	2,769	2,630	2,499
Traditional ex-China buildings	15,068	15,058	15,323	15,575	15,837	15,870	15,919
Scrap used at Mills (directly melted)	6,736	6,647	6,735	6,682	6,635	6,600	6,574
y/y change	1.5%	-1.3%	1.3%	-0.8%	-0.7%	-0.5%	-0.4%
Refined Copper Consumption							
	26,703	27,362	28,062	28,889	29,613	30,318	30,952
y/y change	2.8%	2.5%	2.6%	2.9%	2.5%	2.4%	2.1%
China	15,232	15,724	16,131	16,707	17,229	17,794	18,309
World Ex-China	11,471	11,638	11,931	12,182	12,384	12,524	12,643
Total Scrap Consumption							
	11,197	11,735	12,109	12,290	12,554	12,751	12,963
y/y change	4.5%	4.8%	3.2%	1.5%	2.1%	1.6%	1.7%
Post consumer scrap collection rate, %	71	74	75	74	74	74	74
Copper price, \$/t							
	9,253	9,973	12,200	10,750	11,500	12,000	12,250

Source: CRU, Wood Mackenzie, SMM, ICSG, National Statistics, Company filings, BNEF, S&P Global Market Intelligence, Goldman Sachs Global Investment Research

Valuation and Key Risks

Capstone Copper (Neutral)

We are Neutral rated on Capstone Copper with a new 12-month price target of C\$14.0 (from C\$11.4/sh) with a PT methodology of an equal-weighted blended DCF/1-yr fwd EV/EBITDA target multiple of 7.1x, based on 5-yr historical avg + 1 std.deviation (unchanged). Our DCF model assumptions include a 1.8 beta and 9.9% nominal WACC, based on 35%/65% D/E capital structure and 30% tax rate, consistent with the assumptions we used for other copper names in our coverage, all unchanged.

We do not include Santo Domingo and other non-sanctioned projects into our DCF, which is consistent with the assumptions we use for other copper names in our coverage.

Downside risks: 1) Slower-than-expected ramp up on MVDP and eventually on MV-O could represent downside risk to production and costs. We also note potential capex

overrun risks for MVO; 2) copper projects being approved and executed faster than expected, leading to lower copper prices and consequently lower earnings; 3) macroeconomic and tariffs uncertainty which could potentially decelerate copper demand and impact Capstone's volumes; 4) regulatory environment could impact profitability in view of limited earnings' diversification (Capstone's assets are increasingly concentrated in Chile, >70%).

Upside risks: 1) Given the company's high operating leverage, higher than expected copper prices could potentially lead to better than expected performance; 2) faster-than-expected delivery of Santo Domingo project (potential to reach 60% production growth; not in GS numbers).

Ero Copper (Buy)

We are Buy-rated on Ero Copper with a new 12-month price target of \$33.0/share (from \$25.0/sh) based on our DCF methodology (unchanged). Our DCF model assumptions include a 1.4 beta (up from 1.2) and 10.2% nominal WACC (down from 11.1% due to slightly higher debt in capital structure mix).

Downside risks: 1) production and cost disappointments during the Tucumã project ramp up; 2) lower-than-expected copper prices, which could potentially reduce investor interest for copper assets; and 3) lower-than-expected gold prices, which could also impact the company's profitability and reduce interest from investors.

First Quantum Minerals (Buy)

We are Buy rated on First Quantum with a new 12-month target price of C\$43.0/share (from C\$36.0/sh) based on our EV/EBITDA multiple-based valuation (unchanged). Our multiple-based valuation consists of an equal-weighted blended multiple of 9.2x (vs 9.0x prior) for 2026E and 2027E EV/EBITDA (5-yr historical avg + 1 std.deviation).

Downside risks: 1) Zambia currently represents 100% of the company's EBITDA and asset concentration is now elevated (production issues there—e.g., energy availability, accidents—could significantly reduce the company's ability to honor cash obligations); 2) a longer-than-expected resolution at Cobre Panama, which would limit FM's ability to deleverage; 3) lower-than-expected copper prices that could consequently reduce investor interest in owning copper assets; and 4) a potential reopening of Cobre Panama with worse-than-expected economics could also pose as a risk.

HudBay Minerals (Buy)

We are Buy-rated on HudBay Minerals Inc with a new 12-month price target of C\$33/share (from C\$24.5/sh) with a PT methodology of an equal-weighted blended DCF/1-yr fwd EV/EBITDA target multiple of 5.2x, reflecting the company changes after Copper Mountain consolidation and Copper World stake sale (vs 4.5x prior). Our DCF model assumptions include a 1.2 beta (long-term historical average) and 8% WACC (nominal), based on 35%/65% Debt/Equity capital structure and 35% tax rate, all unchanged.

We neither include the NAV contribution of Copper World nor other non-sanctioned projects into our DCF, which is consistent with the assumptions we use for other copper names in our coverage.

Downside risks: Downside risks to our price target and investment view include: 1) copper/gold prices below GS macro forecasts, chiefly impacting higher cost Copper Mountain asset, the main FCF growth enabler before Copper World, 2) Peru's copper production decline if throughput ramp-up is not achieved/delayed as high-grade Pampacancha's deposit depletes, 3) failure to optimize Copper Mountain and expand mine throughput through the Ball to Sag mill conversion leading to still-negative FCF generation, 4) Failure to extend Manitoba's hub gold production while capex is being disbursed of exploration activities, 5) Delayed sanctioning and/or capex overrun at Copper World, 6) Social unrest activities in Peru impacting copper production, 7) Wildfire in Manitoba's region impacting gold production.

Southern Copper (Sell)

We are Sell-rated on SCCO with a new 12-month price target of US\$129.0/share (from US\$114.03/sh) with a PT methodology of equal-weighted DCF and 1-yr fwd EV/EBITDA target multiple of 13.0x, based on 5-yr historical avg + 1 std.deviation.

Upside risks: 1) Chile's macro/political environment has been uncertain and, given the importance of copper mining in Chile, a stricter environment for Chilean miners could lead to projects being canceled or less competitive costs for these players, favoring SCCO; 2) Southern Copper has a strong project pipeline for the coming years and some of these projects are still under study and are not considered in our model. A successful delivery of these projects at competitive costs could represent an upside risk.

Grupo Mexico (Neutral)

We are Neutral-rated on GMEXICOB with a new 12-month price target of MXN\$164.0/share (from MXN\$152.0/sh) based on our SOTP methodology. Our SOTP model's main assumptions include our SCCO target price (at 88.9% in line with the stake owned by GMEX), GMXT's current market cap (at 70% in line with the stake owned by GMEX), an 9.8x 2026E EV/EBITDA multiple on ASARCO (25% discount to SCCO), a 6.0x 2025E EV/EBITDA multiple on the infrastructure business, and a 35% holding discount, all unchanged.

Upside risks: 1) Better-than-expected performance in SCCO's operation not fully reflect in GMEX valuation, leading to NAV discount to widen, 2) Better-than-expected performance at copper operation Asarco, 3) Stronger-than-expected performance in the infra and transportation business should macro outlook in Mexico improve, 4) Corporate movements that would justify lower holding discount.

Downside risks: 1) Peru's macro/political scenario has been challenging, with potentially higher taxes on mining companies being considered by the government and social unrest leading to mining stoppages in the recent past. A deterioration of the situation could weigh on Grupo Mexico's earnings (Peru represented 33% of GMEX's 2022 EBITDA) ; 2) Copper prices are normally used as a proxy for global GDP. Therefore, a higher likelihood of a global recession could put more pressure on prices; 3) China represents over 50% of global copper demand. Given the challenging housing market in the country, a slower recovery in China could also put pressure on demand and, consequently, on prices; 4) Decisions made by the holding company that go in a different direction to those desired by minority shareholders — for example, decreasing dividend payouts through investments in lower IRR/lower synergy projects — would also be a risk to monitor.

costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

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